

The NYC Congestion Pricing Program

An Economic Policy Analysis

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Econ 259B Public Policy Analysis



Source: [The Verge](#)

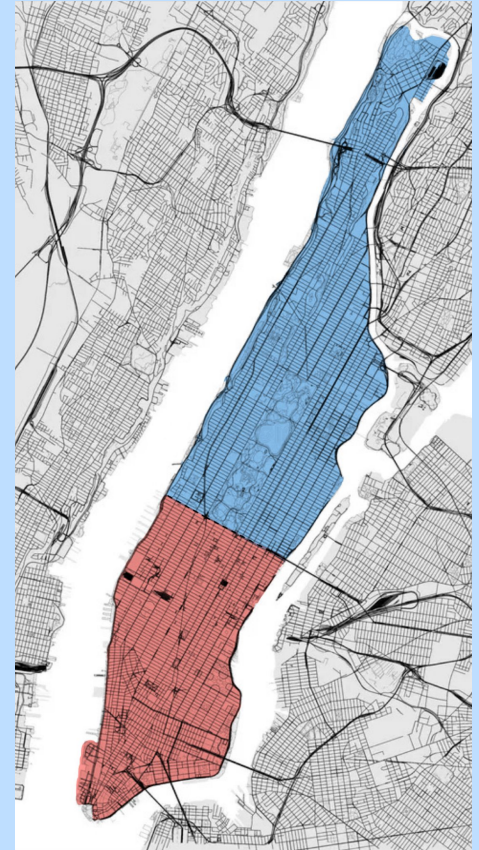
Policy Motivations

Externality correcting through taxation

- **Reduce traffic congestion**
 - Manhattan's central business district experiences extremely high traffic density, generating significant negative externalities for residents and commuters.
 - The policy is intended to internalize the congestion externality by pricing road usage at marginal social cost.
- **Fund public transportation investment**
 - Revenue from congestion pricing is reserved for subway modernization, bus improvements, and infrastructure upgrades.
- **Achieve environmental and public health goals**
 - Lower vehicle volumes reduce vehicle emissions, local air pollution, and urban noise levels.

Adoption and Design

- Approved by the NY state legislature and signed into law in April 2019. First day of enforcement on January 5th, 2025.
- Program goal of \$500,000,000 in revenue, annually.
- The program faced immediate federal threats to end on Feb 19, 2025, following implementation, but continues today.
- Congestion pricing applies to vehicles entering Manhattan's Central Business District south of 60th Street.
- Drivers are electronically charged a toll of \$9.00 during peak hours (5am-9pm), with reduced overnight pricing.



Pricing zone illustrated in red
(South of 60th Street)

Beneficiaries of the Policy

- Commuters willing to pay the toll who will see decreased commute times from less traffic.
- Pedestrians and Bicyclists who can travel easier with reduced vehicles in Lower Manhattan.
- Users of the existing public transit who will see investment into the busses and subways.
- Commercial delivery firms and EMS vehicles benefiting from faster travel times
- Residents of NYC and surrounding regions who will experience decreased vehicle emissions and noise pollution from commuters.
- Those with jobs created for the implementation and enforcement of the policy.

Costs and Affected Groups

- Commuters who cannot afford to pay the toll and must switch to public transit
- Low-income commuters with limited transit alternatives
- Users of the existing public transit who will see an increased amount of daily users who are switching from personal transit, leading to cramming and possible delays.
- Taxpayers who must pay for the MTA's implementation of the enforcement system.
- Passengers of taxis and Uber/Lyft's who see an increased charge (\$2.50-\$2.75) to enter the congestion pricing zone.
- Outer-borough drivers lacking easy public transit access.

Externalities and Spillovers

Positive Externalities

- Reduced Trips -> Reduced emissions
- Fewer Vehicles -> Faster trip times
- Less Traffic -> Less noise pollution

Negative Externalities

- Uniform Pricing -> Distributional costs
- Service Vehicle Tolls -> Cost Pass-through
- Daily Charge -> Housing/Commercial Prices

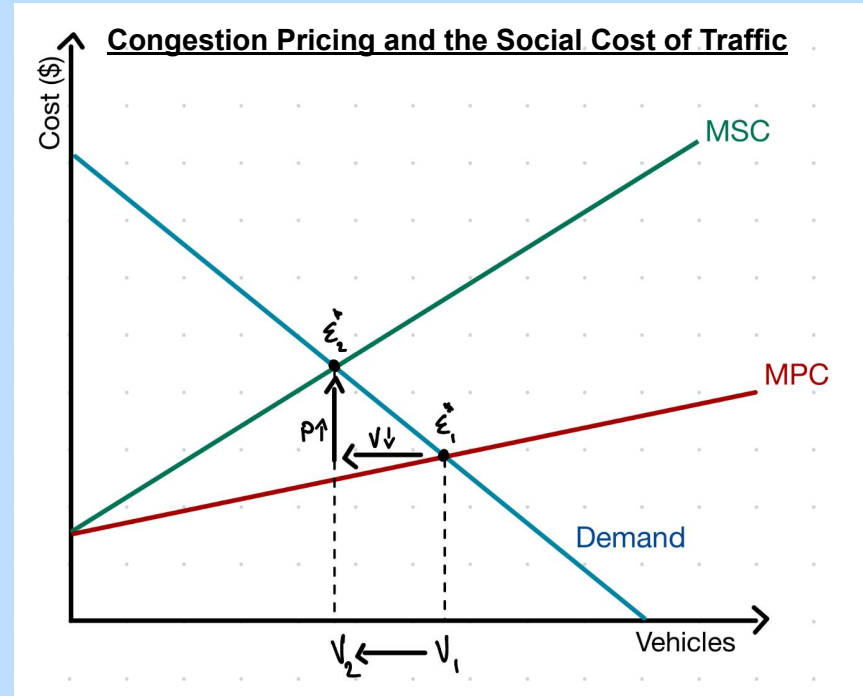
Spillovers

- Shifts congestion to surrounding areas
- Congestion can shift to public transit due to increased use, which has differing externalities

Internalizing the Congestion Externality

Economic Intuition

By pricing the entrance to Manhattan's business district equal to the difference between the marginal social cost (**MSC**) and the marginal private cost (**MPC**), congestion pricing internalizes the congestion externality. The higher price reduces traffic from **V1** to the efficient level **V2**, where demand equals the marginal social cost, lowering total social costs.



Early Empirical Policy Impact

Traffic and Travel Outcomes

- Vehicle speeds increased 11%
- 21+ million fewer vehicles entered the pricing zone
- Bus ridership increased 8%, subway trips 9%

Revenue and Investment

- \$468 million in toll revenue raised by October 2025

Environmental and Local Activity Effects

- Limited short-run measurable changes in air quality
- No significant change in foot traffic

Overall Policy Assessment

- Congestion pricing directly addresses the congestion externality by aligning private and social costs of driving.
- Early evidence indicates reduced traffic volumes, faster travel speeds, and increased transit funding.
- Distributional concerns remain, particularly for commuters with limited transit alternatives and lower income.
- Overall, the policy is likely to generate positive net social welfare if revenues continue supporting transit improvements.

Policy Implications

- Congestion pricing can be an effective urban policy tool for managing traffic in dense cities.
- Automated enforcement proves to be effective, with the policy well on track to meet its stated goal of \$500 Million per year.
- Revenue recycling into public transit strengthens both efficiency and equity outcomes through more service routes and higher quality service.
- NYC's experience may serve as a model for other major metropolitan areas.